

Senate File 612

H-1329

1 Amend Senate File 612, as passed by the Senate, as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 CIGARETTE AND TOBACCO-RELATED REGULATIONS

6 Section 1. Section 453A.1, subsection 27, Code 2025, is
7 amended to read as follows:

8 27. "*State permit*" shall mean and include all permits issued
9 by the department to distributors, wholesalers, and retailers
10 under this chapter except the permits issued to retailers
11 approved by cities and counties pursuant to sections 453A.13
12 and 453A.47A.

13 Sec. 2. Section 453A.6, subsection 8, paragraph a, Code
14 2025, is amended to read as follows:

15 a. Pay directly to the department, in lieu of the tax
16 under subsection 1, a tax equal to three and six hundredths
17 cents on each cigarette dispensed from such machine. Payments
18 made under this paragraph shall be remitted to the department
19 electronically.

20 Sec. 3. Section 453A.8, subsection 2, Code 2025, is amended
21 to read as follows:

22 2. Orders for cigarette tax stamps, including the payment
23 for such stamps, shall be ~~sent direct~~ made to the department
24 electronically on a form to be prescribed by the director,
25 except as provided in subsection 6.

26 Sec. 4. Section 453A.13, subsection 2, paragraph a, Code
27 2025, is amended to read as follows:

28 a. The department shall issue state permits to distributors,
29 wholesalers, and cigarette vendors, and retailers that
30 make delivery sales of alternative nicotine products and
31 vapor products, subject to the conditions provided in this
32 subchapter. If an out-of-state retailer makes delivery
33 sales of alternative nicotine products or vapor products, an
34 application shall be filed with the department electronically
35 and a permit shall be issued for the out-of-state retailer's

1 principal place of business. Cities may ~~issue~~ approve retail
2 ~~permits to retailers~~ permit applications for applicants with
3 a place of business located within their respective limits.
4 County boards of supervisors may ~~issue~~ approve retail ~~permits~~
5 ~~to retailers~~ permit applications for applicants with a place of
6 business in their respective counties, outside of the corporate
7 limits of cities. Upon approval of a retail permit application
8 by a city or county, the department shall issue the permit to
9 the applicant on behalf of the city or county, in the manner
10 determined by the department. A city or county shall use the
11 electronic portal of the department to process retail permit
12 applications. A city or county that is unable to use the
13 electronic portal of the department may request permission from
14 the director to process retail applications by another method.

15 Sec. 5. Section 453A.13, subsection 2, paragraph c, Code
16 2025, is amended to read as follows:

17 ~~c. A city or county shall submit a duplicate of any~~
18 ~~application for a retail permit to the department within thirty~~
19 ~~days of the issuance.~~ The department shall submit the current
20 list of all retail permits issued to the department of health
21 and human services by the last day of each quarter of a state
22 fiscal year.

23 Sec. 6. Section 453A.13, subsection 3, paragraph a, Code
24 2025, is amended to read as follows:

25 a. All permits provided for in ~~this subchapter~~ shall expire
26 on June 30 of each year. A permit shall not be granted or
27 issued until the applicant has paid the fees to the department
28 required in this subchapter for the next period ending on June
29 30 ~~next, to the department or the city or county granting the~~
30 ~~permit, the fees provided for in~~ ~~this subchapter~~. The annual
31 state permit fee for a distributor, cigarette vendor, and
32 wholesaler is one hundred dollars when the permit is granted
33 during the months of July, August, or September. However,
34 whenever a state permit holder operates more than one place of
35 business, a duplicate state permit shall be issued for each

1 additional place of business on payment of five dollars for
2 each duplicate state permit, but refunds as provided in this
3 subchapter do not apply to any duplicate permit issued.

4 Sec. 7. Section 453A.13, subsection 5, unnumbered paragraph
5 1, Code 2025, is amended to read as follows:

6 Permits shall be issued only upon applications accompanied
7 by the fee indicated above, and by an adequate bond as provided
8 in [section 453A.14](#), and upon forms furnished by the department
9 ~~upon written request. The failure to furnish such forms shall~~
10 ~~be no excuse for the failure to file the forms unless absolute~~
11 ~~refusal is shown. Applications, any supporting documentation,~~
12 and the associated fees required by this section shall be
13 submitted to the department electronically. The forms shall
14 set forth all of the following:

15 Sec. 8. Section 453A.13, subsection 9, unnumbered paragraph
16 1, Code 2025, is amended to read as follows:

17 Each permit issued shall describe clearly the place of
18 business for which it is issued, shall be nonassignable,
19 consecutively numbered, designating the kind of permit, and
20 shall authorize the sale of cigarettes, alternative nicotine
21 products, or vapor products in this state subject to the
22 limitations and restrictions herein contained. The retail
23 permits shall be upon forms furnished by the department ~~or on~~
24 ~~forms made available or approved by the department.~~

25 Sec. 9. Section 453A.14, subsection 1, unnumbered paragraph
26 1, Code 2025, is amended to read as follows:

27 ~~No~~ A state or manufacturer's permit shall not be issued until
28 the applicant files a bond, with good and sufficient surety,
29 to be approved by the director, which bond shall be in favor of
30 the state and conditioned upon the payment of taxes, damages,
31 fines, penalties, and costs adjudged against the permit holder
32 for violation of any of the provisions of [this subchapter](#). The
33 bonds shall be on forms prescribed by the director and shall be
34 filed electronically. A bond filed under this section shall be
35 in one of the following amounts:

1 Sec. 10. Section 453A.14, subsection 2, Code 2025, is
2 amended to read as follows:

3 2. A person shall not engage in interstate business unless
4 the person files a bond, with good and sufficient surety in an
5 amount of not less than one thousand dollars. A bond required
6 by this subsection shall be on forms prescribed by the director
7 and shall be filed electronically. The amount of the bond
8 required of the person shall be fixed by the director, subject
9 to the minimum limitation provided in this section. The bond
10 is subject to approval by the director and shall be payable to
11 the state in Des Moines, Polk county, and conditioned upon the
12 payment of taxes, damages, fines, penalties, and costs adjudged
13 against the person for violation of any of the requirements of
14 this subchapter affecting the person, on a form prescribed by
15 the director.

16 Sec. 11. Section 453A.15, subsection 7, Code 2025, is
17 amended to read as follows:

18 7. ~~The director may require by rule that~~ Any reports
19 required to be made under this subchapter shall be filed by
20 ~~electronic transmission~~ electronically.

21 Sec. 12. Section 453A.16, Code 2025, is amended to read as
22 follows:

23 **453A.16 Manufacturer's permit.**

24 The department may, upon application of any manufacturer,
25 issue without charge to the manufacturer a manufacturer's
26 permit. The application shall contain information as
27 the director shall prescribe and the application shall be
28 submitted to the department electronically. The holder of a
29 manufacturer's permit is authorized to purchase stamps from
30 the department, and must affix stamps to individual packages
31 of cigarettes outside of this state, prior to their shipment
32 into the state unless the cigarettes are shipped to an Iowa
33 permitted distributor or an Iowa permitted distributor's agent.

34 Sec. 13. Section 453A.17, subsection 1, Code 2025, is
35 amended to read as follows:

1 1. Every distributing agent in the state, now engaged,
2 or who desires to become engaged, in the business of storing
3 unstamped cigarettes which are received in interstate commerce
4 for distribution or delivery only upon order received from
5 without the state or to be sold outside the state, shall
6 file with the department electronically, an application for
7 a distributing agent's permit, on a form prescribed by the
8 director, ~~to be furnished upon written request. The failure~~
9 ~~to furnish shall be no excuse for the failure to file the same~~
10 ~~unless an absolute refusal is shown.~~ Said form shall set
11 forth the name under which such distributing agent transacts
12 or intends to transact such business as a distributing agent,
13 the principal office and place of business in Iowa to which
14 the permit is to apply, and if other than an individual, the
15 principal officers or members thereof and their addresses. The
16 director may require any other information in said application.
17 No distributing agent shall engage in such business until
18 such application has been filed and fee in the sum of one
19 hundred dollars paid for the permit and until the permit has
20 been obtained. Such permit shall expire on June 30 following
21 the date of issuance. All of the provisions of the last
22 two paragraphs of [section 453A.14](#), relative to bonds, are
23 incorporated herein and by this reference made applicable to
24 distributing agents. Upon failure to furnish adequate bond
25 as required, the permit shall be revoked without hearing. An
26 application shall be filed and a permit obtained for each place
27 of business owned or operated by a distributing agent.

28 Sec. 14. Section 453A.18, Code 2025, is amended to read as
29 follows:

30 **453A.18 Forms for records and reports.**

31 The department shall ~~furnish or~~ make available in electronic
32 form, without charge, to holders of the various permits, forms
33 ~~in sufficient quantities~~ to enable permit holders to make the
34 reports required to be made under [this subchapter](#). The permit
35 holders shall furnish at their own expense the books, records,

1 and invoices, required to be used and kept, but the books,
2 records, and invoices shall be in exact conformity to the forms
3 prescribed for that purpose by the director, and shall be kept
4 and used in the manner prescribed by the director. However,
5 the director may, by express order in certain cases, authorize
6 permit holders to keep their records in a manner and upon forms
7 other than those prescribed. The authorization may be revoked
8 at any time. A report, book, record, invoice, and any other
9 document required to be submitted to the department under this
10 subchapter shall be submitted electronically.

11 Sec. 15. Section 453A.23, subsections 1 and 2, Code 2025,
12 are amended to read as follows:

13 1. Subject to [this subchapter](#), a retailer's permit may be
14 issued by the department to any dining car company, sleeping
15 car company, railroad or railway company. The permit shall
16 authorize the holder to keep for sale, and sell, cigarettes
17 at retail on any dining car, sleeping car, or passenger car
18 operated by the applicant in, through, or across the state of
19 Iowa, subject to all of the restrictions imposed upon retailers
20 under [this subchapter](#). The application for the permit shall
21 be in the form and contain the information required by the
22 director and each application submitted under this section
23 shall be submitted to the department electronically. Each
24 permit is good throughout the state. Only one permit is
25 required for all cars operated in this state by the applicant,
26 but a duplicate of the permit shall be posted in each car
27 in which cigarettes are sold and no further permit shall be
28 required or tax levied for the privilege of selling cigarettes
29 in the cars. ~~No cigarettes~~ Cigarettes shall not be sold in
30 the cars without having affixed thereto stamps evidencing the
31 payment of the tax as provided in [this subchapter](#).

32 2. As a condition precedent to the issuing of a retailer's
33 permit for railway car, the applicant shall file with the
34 department a bond in favor of the state for the benefit of
35 all parties interested in the amount of five hundred dollars

1 conditioned upon the payment of all taxes, fines and penalties
2 and costs in [this subchapter](#). A bond filed under this
3 subsection shall be on a form prescribed by the director and
4 shall be filed electronically.

5 Sec. 16. Section 453A.24, subsection 2, Code 2025, is
6 amended to read as follows:

7 2. The director may require by rule that common carriers
8 or the appropriate persons provide monthly reports to the
9 department detailing all information the department deems
10 necessary on shipments into and out of Iowa of cigarettes
11 and tobacco products as set forth in this [subchapter I](#) and
12 subchapter II of this chapter. ~~The director may require by~~
13 ~~rule that the reports~~ A report required to be submitted by the
14 director pursuant to this section shall be filed by electronic
15 transmission electronically.

16 Sec. 17. Section 453A.28, subsection 1, paragraph a, Code
17 2025, is amended to read as follows:

18 a. (1) If after any audit, examination of records, or
19 other investigation the department finds that any person has
20 sold cigarettes without stamps affixed or that any person
21 responsible for paying the tax has not done so as required by
22 this subchapter, the department shall fix and determine the
23 amount of tax due, and shall assess the tax against the person,
24 together with a penalty as provided in [section 421.27](#).

25 (2) The taxpayer shall pay interest on the tax or additional
26 tax at the rate determined under [section 421.7](#) counting each
27 fraction of a month as an entire month, computed from the date
28 the tax was due. If any person fails to furnish evidence
29 satisfactory to the director showing purchases of sufficient
30 stamps to stamp unstamped cigarettes purchased by the person,
31 the presumption shall be that the cigarettes were sold without
32 the proper stamps affixed. Within three years after the report
33 is filed or within three years after the report became due,
34 whichever is later, the department shall examine the report
35 and determine the correct amount of tax. The period for

1 examination and determination of the correct amount of tax is
2 unlimited in the case of a false or fraudulent report made
3 with the intent to evade tax, or in the case of a failure to
4 file a report, or if a person purchases or is in possession of
5 unstamped cigarettes.

6 (3) For purposes of imposing penalties under this section
7 and section 421.27, a person who fails to timely file or submit
8 a required return, report, or other documentation upon which no
9 tax is shown due is subject to a penalty in the amount of fifty
10 dollars for each occurrence.

11 Sec. 18. Section 453A.28, subsection 1, Code 2025, is
12 amended by adding the following new paragraph:

13 NEW PARAGRAPH. c. For purposes of this section and section
14 421.27, any application, bond, fee, report, return, remittance,
15 or other documentation required to be submitted electronically
16 under this subchapter that is filed in a manner other than in
17 an electronic format specified by the department shall not be
18 considered a valid submission unless the director has permitted
19 submission of such application, bond, fee, report, return,
20 remittance, or other documentation through an alternative
21 method pursuant to section 453A.57.

22 Sec. 19. Section 453A.35, subsection 1, paragraph a, Code
23 2025, is amended to read as follows:

24 a. With the exception of revenues credited to the health
25 care trust fund pursuant to paragraph "b", the proceeds derived
26 from the sale of stamps and the payment of fees and penalties
27 provided for under [this chapter](#), and the permit fees received
28 from all state permits issued by the department, shall be
29 credited to the general fund of the state.

30 Sec. 20. Section 453A.35, subsection 2, Code 2025, is
31 amended to read as follows:

32 2. All permit fees provided for in [this chapter](#) and
33 collected by the department on behalf of cities in the issuance
34 of permits granted by the cities shall be ~~paid~~ remitted by
35 the department to the treasurer of the city where the permit

1 is effective, ~~or to another city officer as designated by the~~
2 ~~council~~, and shall be credited to the general fund of the
3 city. Permit fees so collected by the department on behalf of
4 counties shall be ~~paid~~ remitted to the county treasurer of the
5 county where the permit is effective.

6 Sec. 21. Section 453A.39, subsection 2, paragraph a, Code
7 2025, is amended to read as follows:

8 a. All cigarette samples shall be shipped only to a
9 distributor that has a permit to stamp cigarettes or little
10 cigars with Iowa tax. All cigarette samples must have a
11 cigarette stamp. The manufacturer shipping samples under this
12 section shall send an affidavit to the director stating the
13 shipment information, including the date shipped, quantity, and
14 to whom the samples were shipped. The distributor receiving
15 the shipment shall send an affidavit to the director stating
16 the shipment information, including the date shipped, quantity,
17 and from whom the samples were shipped. These affidavits shall
18 be duly notarized and submitted to the director at the time of
19 shipment and receipt of the samples. The distributor shall
20 pay the tax on samples by separate remittance along with the
21 affidavit. The affidavit and remittance required under this
22 paragraph shall be submitted to the department electronically.

23 Sec. 22. Section 453A.40, subsection 2, Code 2025, is
24 amended to read as follows:

25 2. Persons subject to the inventory tax imposed under this
26 section shall take an inventory as of the close of the business
27 day next preceding the effective date of the increased tax rate
28 of those items subject to the inventory tax for the purpose of
29 determining the tax due. These persons shall report the tax
30 on forms provided by the department of revenue and remit the
31 tax due within thirty days of the prescribed inventory date.
32 The report and remittance required under this subsection shall
33 be submitted to the department electronically. The department
34 of revenue shall adopt rules as are necessary to carry out this
35 section.

1 Sec. 23. Section 453A.45, subsection 5, paragraphs b, c, and
2 d, Code 2025, are amended to read as follows:

3 b. The report shall be made on forms provided by the
4 director. ~~The director may require by rule that the A report~~
5 required under this subsection shall be filed by electronic
6 transmission electronically. A report required to be submitted
7 electronically under this subsection that is filed in a manner
8 other than in an electronic format specified by the department
9 shall not be considered a valid submission unless the director
10 has permitted the submission of such a report through an
11 alternative method pursuant to section 453A.57.

12 c. Common carriers transporting tobacco products into
13 this state shall file with the director reports of all such
14 shipments other than those which are delivered to public
15 warehouses of first destination in this state which are
16 licensed under the provisions of [chapter 554](#). Such reports
17 shall be filed electronically with the department on or before
18 the tenth day of each month and shall show with respect to
19 deliveries made in the preceding month all of the following:

- 20 (1) The date.
21 (2) The point of origin.
22 (3) The point of delivery.
23 (4) The name of the consignee.
24 (5) A description and the quantity of tobacco products
25 delivered.
26 (6) Such other information as the director may require.

27 d. Any person who fails or refuses to transmit to the
28 director the required reports or whoever refuses to permit the
29 examination of the records by the director shall be guilty
30 of a serious misdemeanor. In addition, any person who fails
31 to timely submit a report required under this section is
32 subject to a penalty in the amount of fifty dollars for each
33 occurrence.

34 Sec. 24. Section 453A.46, subsection 1, paragraph a,
35 subparagraph (1), Code 2025, is amended to read as follows:

1 (1) On or before the twentieth day of each calendar month
2 every distributor with a place of business in this state shall
3 file a return with the director showing for the preceding
4 calendar month the quantity and wholesale sales price of each
5 tobacco product brought, or caused to be brought, into this
6 state for sale; made, manufactured, or fabricated in this state
7 for sale in this state; and any other information the director
8 may require. Every licensed distributor outside this state
9 shall in like manner file a return with the director showing
10 for the preceding calendar month the quantity and wholesale
11 sales price of each tobacco product shipped or transported to
12 retailers in this state to be sold by those retailers and any
13 other information the director may require. Returns shall
14 be made upon forms ~~furnished or~~ made available in electronic
15 form and prescribed by the director and shall contain other
16 information as the director may require. Each return shall be
17 accompanied by a remittance for the full tax liability shown
18 on the return, less a discount as fixed by the director not to
19 exceed five percent of the tax. Within three years after the
20 return is filed or within three years after the return became
21 due, whichever is later, the department shall examine it,
22 determine the correct amount of tax, and assess the tax against
23 the taxpayer for any deficiency. The period for examination
24 and determination of the correct amount of tax is unlimited in
25 the case of a false or fraudulent return made with the intent
26 to evade tax, or in the case of a failure to file a return.

27 Sec. 25. Section 453A.46, subsection 3, Code 2025, is
28 amended to read as follows:

29 3. In addition to the tax or additional tax, the taxpayer
30 shall also pay a penalty as provided in [section 421.27](#) and be
31 subject to the civil penalties set forth in [sections 421.27](#);
32 453A.31, subsection 1, paragraph "b"; and 453A.50, subsection
33 3, as applicable. For purposes of imposing penalties under
34 this section and section 421.27, a person who fails to
35 timely file or submit a required return, report, or other

1 documentation upon which no tax is shown due is subject to a
2 penalty in the amount of fifty dollars for each occurrence.

3 Sec. 26. Section 453A.46, subsection 7, Code 2025, is
4 amended by striking the subsection and inserting in lieu
5 thereof the following:

6 7. A report, return, remittance, or other documentation
7 required to be submitted under this subchapter shall be filed
8 electronically. Any report, return, remittance, or other
9 documentation required to be submitted electronically that
10 is submitted in a manner other than in an electronic format
11 specified by the department shall not be considered a valid
12 submission unless the director has permitted submission of such
13 application, bond, fee, report, return, remittance, or other
14 documentation through an alternative method pursuant to section
15 453A.57.

16 Sec. 27. Section 453A.47A, subsection 6, Code 2025, is
17 amended to read as follows:

18 6. *Issuance.* Cities may ~~issue~~ approve retail ~~permits to~~
19 ~~retailers~~ permit applications of applicants located within
20 their respective limits. County boards of supervisors may
21 ~~issue~~ approve retail ~~permits to retailers~~ permit applications
22 of applicants located in their respective counties, outside
23 of the corporate limits of cities. ~~The city or county shall~~
24 ~~submit a duplicate of any application for a retail permit to~~
25 ~~the department within thirty days of issuance of a permit.~~
26 Upon approval of a retail permit application by a city or
27 county, the department shall issue the permit to the applicant
28 on behalf of the city or county, in the manner determined by
29 the department. A city or county shall use the electronic
30 portal of the department to process retail permit applications.
31 A city or county that is unable to use the electronic portal
32 of the department may request permission from the director to
33 process retail applications by another method. The department
34 shall submit the current list of all retail permits issued to
35 the department of health and human services by the last day of

1 each quarter of a state fiscal year.

2 Sec. 28. Section 453A.47A, subsection 7, paragraph a,
3 unnumbered paragraph 1, Code 2025, is amended to read as
4 follows:

5 All permits provided for in this subchapter shall expire on
6 June 30 of each year. A permit shall not be granted or issued
7 until the applicant has paid the fees ~~provided for to the~~
8 department required in this section for the next period ending
9 on June 30 next, to the city or county granting the permit. The
10 fee for retail permits is as follows when the permit is granted
11 during the month of July, August, or September:

12 Sec. 29. Section 453A.47A, subsection 9, unnumbered
13 paragraph 1, Code 2025, is amended to read as follows:

14 Retail permits shall be issued only upon applications,
15 accompanied by the fee indicated above, made upon forms
16 furnished by the department ~~upon written request. The failure~~
17 ~~to furnish such forms shall be no excuse for the failure to~~
18 ~~file the form unless absolute refusal is shown. Applications,~~
19 any supporting documentation, and the associated fees
20 required by this section shall be submitted to the department
21 electronically. The forms shall specify:

22 Sec. 30. Section 453A.47A, subsection 10, paragraph b, Code
23 2025, is amended to read as follows:

24 *b.* Every retailer shall, when requested by the department,
25 make additional reports as the department deems necessary and
26 proper and shall at the request of the department furnish full
27 and complete information pertaining to any transaction of the
28 retailer involving the purchase or sale or use of tobacco,
29 tobacco products, alternative nicotine products, or vapor
30 products. A report required to be submitted to the department
31 pursuant to this subsection shall be submitted electronically.

32 Sec. 31. Section 453A.52, Code 2025, is amended by adding
33 the following new subsection:

34 NEW SUBSECTION. 9. Any certification form, notice, and
35 supporting documentation and any payment required to be

1 submitted to the department pursuant to this section shall
2 be submitted to the department electronically, unless the
3 director has permitted submission of such information through
4 an alternative method pursuant to section 453A.57.

5 Sec. 32. Section 453A.52B, Code 2025, is amended by adding
6 the following new subsection:

7 NEW SUBSECTION. 6. Payment for any penalty imposed
8 pursuant to this section shall be remitted to the department
9 electronically, unless the director has permitted submission
10 of such information through an alternative method pursuant to
11 section 453A.57.

12 Sec. 33. Section 453A.52D, Code 2025, is amended by adding
13 the following new subsection:

14 NEW SUBSECTION. 4. Notice to the department and any
15 supporting documentation required to be submitted to the
16 department pursuant to this section shall be submitted to the
17 department electronically, unless the director has permitted
18 submission of such information through an alternative method
19 pursuant to section 453A.57.

20 Sec. 34. NEW SECTION. 453A.57 Submitting documents —
21 alternative method.

22 A person subject to this chapter who is required to submit an
23 application, bond, fee, report, return, remittance, or other
24 documentation electronically and who is unable to do so, may
25 request permission from the director to make a submission using
26 an alternative method.

27 Sec. 35. Section 453D.5, subsection 1, Code 2025, is amended
28 to read as follows:

29 1. No later than twenty calendar days after the end of
30 each calendar quarter, and more frequently if so directed by
31 the director, each stamping agent and distributor shall submit
32 information as the director requires to facilitate compliance
33 with [this chapter](#), including but not limited to a list by brand
34 family of the total number of cigarettes, or, in the case of
35 roll-your-own tobacco, the equivalent stick count, for which

1 the stamping agent or distributor affixed stamps during the
2 previous calendar quarter or otherwise paid the tax due for
3 the cigarettes. The stamping agent and distributor shall
4 maintain, and make available to the director, all invoices and
5 documentation of sales of all nonparticipating manufacturer
6 cigarettes and any other information relied upon in reporting
7 to the director for a period of five years. Any information
8 submitted pursuant to this subsection shall be submitted to
9 the director electronically, unless the director has permitted
10 submission of such information through an alternative method
11 pursuant to section 453A.57. Any information submitted
12 pursuant to this subsection that is submitted in a manner other
13 than in a format specified by the department shall not be
14 considered a valid submission. Violations of [this subsection](#)
15 are subject to civil penalties as established in section
16 453A.31, subsection 1, paragraph "b".

17 Sec. 36. CODE EDITOR DIRECTIVES.

18 1. The Code editor is directed to place new section 453A.57,
19 as enacted by this division of this Act, in subchapter IV
20 titled "Uniformed Application of Chapter".

21 2. The Code editor may modify subchapter titles if necessary
22 and is directed to correct internal references in the Code as
23 necessary due to enactment of this section.

24 DIVISION II

25 RESEARCH ACTIVITIES TAX CREDIT

26 Sec. 37. Section 422.10, subsection 1, paragraph a,
27 subparagraph (1), subparagraph division (b), subparagraph
28 subdivision (i), Code 2025, is amended to read as follows:

29 (i) (A) A person engaged in agricultural production as
30 defined in [section 423.1](#) except if the credit is based on
31 conducting agriscience research as defined in subparagraph part
32 (B) and the person or the business is engaged in bovine and
33 porcine veterinary research, the person shall not be considered
34 to be engaged in agricultural production as defined in section
35 423.1.

1 (B) As used in this subparagraph subdivision, "agriscience
2 research" means research that is approved and overseen or
3 monitored by a board that includes, at a minimum, an individual
4 who was employed with, contracted by, or professionally trained
5 by an accredited university as a researcher in an applied
6 animal science and an individual holding a doctor of veterinary
7 medicine or a doctoral degree in an applied animal science;
8 is conducted in this state in an applied animal science;
9 improves the scientific knowledge base or increases scientific
10 innovation, performance, or viability within this state; the
11 results of the research are evaluated by a person educated and
12 trained in statistics by an accredited university and capable
13 of applying generally accepted methodologies to the results
14 in accordance with industry standards in an applied animal
15 science; and the results of the research are made available
16 to the public by submission to or publication in a journal,
17 magazine, or similar periodical, if the statistical evaluation
18 indicated the research is reliable and relevant to an applied
19 animal science.

20 (C) As used in this subparagraph subdivision, "applied
21 animal science" includes the areas of animal science,
22 veterinary medicine, nutritional science, genetic science, and
23 microbiology.

24 Sec. 38. Section 422.33, subsection 5, paragraph e,
25 subparagraph (l), subparagraph division (b), subparagraph
26 subdivision (i), Code 2025, is amended to read as follows:

27 (i) (A) A person engaged in agricultural production as
28 defined in section 423.1, except if the credit is based on
29 conducting agriscience research and the person or the business
30 is engaged in bovine and porcine veterinary research, the
31 person shall not be considered to be engaged in agricultural
32 production as defined in section 423.1.

33 (B) As used in this subparagraph subdivision, "agriscience
34 research" means research that is approved and overseen or
35 monitored by a board that includes, at a minimum, an individual

1 who was employed with, contracted by, or professionally trained
2 by an accredited university as a researcher in an applied
3 animal science and an individual holding a doctor of veterinary
4 medicine or a doctoral degree in an applied animal science;
5 is conducted in this state in an applied animal science;
6 improves the scientific knowledge base or increases scientific
7 innovation, performance, or viability within this state; the
8 results of the research are evaluated by a person educated and
9 trained in statistics by an accredited university and capable
10 of applying generally accepted methodologies to the results
11 in accordance with industry standards in an applied animal
12 science; and the results of the research are made available
13 to the public by submission to or publication in a journal,
14 magazine, or similar periodical, if the statistical evaluation
15 indicated the research is reliable and relevant to an applied
16 animal science.

17 (C) As used in this subparagraph subdivision, “*applied*
18 *animal science*” includes the areas of animal science,
19 veterinary medicine, nutritional science, genetic science, and
20 microbiology.

21 Sec. 39. RETROACTIVE APPLICABILITY. This division of this
22 Act applies retroactively to January 1, 2017, for tax years
23 beginning on or after that date.

24 DIVISION III

25 CITY BUDGET CERTIFICATION DEADLINE

26 Sec. 40. CITY BUDGET CERTIFICATION DEADLINE — FY
27 2025-2026.

28 1. As used in this section, “qualified city” means a city
29 in this state having a population between twenty thousand four
30 hundred and twenty thousand five hundred, according to the 2020
31 federal decennial census.

32 2. a. Notwithstanding any provision of section 384.16 to
33 the contrary, a qualified city that failed to certify a budget
34 as required in section 384.16 for the fiscal year beginning
35 July 1, 2025, may comply with the requirements in section

1 384.16 by certifying the budget on or before July 1, 2025.

2 b. A qualified city that complies with the requirements of
3 paragraph "a" is not required to conduct a hearing as required
4 in section 384.16 or 384.18. In addition, the provisions of
5 section 384.19 allowing persons affected by the budget to file
6 a written protest with the county auditor do not apply to the
7 qualified city's budget for the fiscal year beginning July 1,
8 2025.

9 c. A qualified city that meets the extended certification
10 deadline as provided in this subsection shall be deemed to have
11 complied with the requirements of section 384.16 on April 30,
12 2025.

13 Sec. 41. EFFECTIVE DATE. This division of this Act, being
14 deemed of immediate importance, takes effect upon enactment.>

15 2. Title page, by striking lines 1 through 4 and inserting
16 <An Act relating to state and local taxation and regulations
17 by changing certain tax credits, cigarette and tobacco-related
18 regulations, and certain city budget certification
19 deadlines, providing for penalties, and including retroactive
20 applicability and effective date provisions.>

HERMANSON of Cerro Gordo